

QUESTION (18 marks)

[Rivian Automotive, Inc.](#) describes itself as an “automotive technology company that develops and manufactures category-defining electric vehicles as well as vertically integrated technologies and services ... Rivian vehicles are manufactured in the United States and are sold directly to consumer and commercial customers.” (Source: [Rivian 2025 annual filing](#), or 10-K report).

Large companies invested in Rivian before the company went public. In 2019, [Ford Motor](#) invested approximately \$1.2 billion in the company, only to begin selling shares in 2022 at substantial gain. Amazon also made a significant investment in Rivian. On June 25, 2024, Volkswagen (VW, which includes brands like Audi, Bentley, Lamborghini, and Porsche) announced a [\\$5 billion partnership investment](#). By the end of 2025, the focus was turning towards [AI and autonomy](#).


PART 1 (7 marks)

REQUIRED: Determine the missing numbers.

	ROW / COLUMN:	A	B	C	D	E
		Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021
1	Balance Sheet, as at (\$ USD, in millions)					
2	Assets					
3	Cash	3,579	5,294	7,857	11,568	18,133
4	Non-cash assets	11,285	10,116	C4	6,308	4,161
5	Total assets	14,864	15,410	C5	17,876	22,294
6	Liabilities	10,270	8,848	7,637	D6	2,780
7	Equity:					
8	Contributed equity	31,509	29,867	27,696	26,927	25,888
9	Retained earnings (deficit)	(26,951)	(23,305)	C9	D9	(6,374)
10	Other equity	36	-	3	(2)	-
11	Total Equity	4,594	6,562	C11	13,799	19,514
12	Total Liabilities and Equity	14,864	15,410	16,778	D12	22,294
13						
14	Income Statement for fiscal year (\$ USD, in millions)					
15	Net loss attributable to common stockholders	(3,646)	(4,747)	(5,432)	(6,752)	(4,688)

#4	C4: Non-cash assets on Dec. 31, 2023 Since total assets = cash + non-cash assets, non-cash assets = total assets – cash = C5 – C3 = 16,778 – 7,857 = 8,921	D6: Liabilities on Dec. 31, 2022 = total assets – total equity = D5 – D11 = 17,876 – 13,799 = 4,077
#3	C5: Total assets on Dec. 31, 2023 = total liabilities + total equity = C12 = 16,778	D9: Retained earnings on Dec. 31, 2022 = total equity – contributed equity – other equity = D11 – D8 – D10 = 13,799 – 26,927 – (-2) = (13,126)
#2	C9: Retained earnings on Dec. 31, 2023 = total equity – contributed equity – other equity = C11 – C8 – C10 = 9,141 – 27,696 – 3 = -18,558 or (18,558)	D12: Total liabilities and equity on Dec. 31, 2022 = total assets = D5 = \$17,876
#1	C11: Total equity on Dec. 31, 2023 = total liabilities and equity – total liabilities = C12 – C6 = 16,778 – 7,637 = 9,141	Additional information and links (for interest): ☐ CNBC story on Ford's purchase/sale (Feb. 3, 2023) ☐ CNBC video on Amazon's investment (Aug. 28, 2022) ☐ CNBC video on VW's investment (Sep. 12, 2024)

PART 2 (2 marks)

REQUIRED: Did Rivian declare any dividends in fiscal 2025? Explain.

Rivian did not declare any dividends in 2025 as the change in retained earnings is explained entirely by the loss in the year.
 Retained earnings on Dec. 31, 2025 = Retained earnings on Dec. 31, 2024 + earnings in 2025 – dividends in 2025
 $A9 = B9 + A15 - \text{dividends in 2025}$
 $\text{Dividends in 2025} = B9 + A15 - A9 = (-23,305) + (-3,646) - (-26,951) = -23,305 - 3,646 + 26,951 = \text{zero}$

PART 3 (2 marks)

REQUIRED: Review Rivian's income statements below. Are you surprised that the company didn't issue any dividends in recent years? Explain.

Income Statement for fiscal year (\$ USD, in millions)	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021
Revenues	5,387	4,970	4,434	1,658	55
Cost of goods sold	5,243	6,170	6,464	4,781	520
Gross profit	144	(1,200)	(2,030)	(3,123)	(465)
Other expenses and items	(3,790)	(3,547)	(3,402)	(3,629)	(4,223)
Net loss attributable to common stockholders	(3,646)	(4,747)	(5,432)	(6,752)	(4,688)

Given the financial information provided for Rivian's income statements, it is not surprising that the company did not issue any dividends:

- ☐ **Net Loss:** Rivian has been reporting significant net losses for the past five fiscal years, with a net loss of \$3.6 billion in 2025 and a retained deficit balance of almost \$27 billion at the end of 2025. Since dividends are typically paid out of profits, it should not be surprising that Rivian didn't issue any dividends in recent years.
- ☐ **Negative Gross Profit:** The company's gross profit is positive (but only slightly) for the first time in 2025. This means that Rivian's revenues are only now (barely) covering the cost of producing its vehicles. This highlights that the company is still in an early stage of scaling up production and has not yet achieved sustained profitability or efficiency in its operations.

PART 4 (3 marks)

REQUIRED: Use Rivian's financial information (including from previous page) to calculate the debt-to-equity ratio in 2025. What is the main reason for the change in the ratio over the past few years?

Ratio	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021
Debt-to-Equity ratio		1.35	0.84	0.30	0.14

Debt-to-equity = total liabilities / total equity = A6 / A11 = 10,270 / 4,594 = 2.24

For each \$1 of equity, Rivian had \$2.24 of liabilities. The change is explained by two factors: 1) increase in liabilities as the company grows and expands; and 2) decrease in equity as the company accumulates losses and has an increasingly negative retained earnings position (without raising significant funds directly from investors).

PART 5 (2 marks)

Key underlying assumption of financial reporting is the "going concern" assumption. Our textbook explains it as follows: "Companies are assumed to have continuity in that they can be expected to continue in operation over time." (p. 25)

REQUIRED: Before a company faces financial trouble, what warning signs might suggest it may not survive the next year—and what factors would reassure you that it will? Is "going concern" a reasonable assumption for Rivian in 2025? Use relevant financial information to support your answer.

Going concern: A company is generally considered a going concern when it has sufficient liquidity, profitability, financing access, and no intention or need to liquidate. It may *not* qualify when there is substantial doubt about its survival—signaled by recurring losses, negative cash flows, working-capital deficiencies, debt defaults, loss of a major customer or supplier, or legal/regulatory threats to its ability to continue.

Rivian's going concern challenges:

- ☐ Rivian reported **ongoing losses** for years. Additionally, the cost of goods sold exceeds revenues, leading to a **negative gross profit** until 2024 (and only slightly positive in 2025). This appears to reflect operational inefficiencies and lack of scale.
- ☐ Cash reserves have dropped from **\$18.1 billion at end of 2021** to **\$3.6 billion at the end of 2025**, raising concerns if losses continue.

However, "going concern" assumption is still considered reasonable given the following factors:

- ☐ **Cash Reserves:** Rivian holds **\$3.6 billion** in cash, ensuring short-term liquidity for operations and investments.
- ☐ **Growth Potential:** Shifting to the expanding **AI and autonomous vehicle** market, Rivian has long-term prospects.

PART 6 (2 marks)

During September 2019, Amazon announced an order for 100,000 electric delivery vehicles from Rivian.

REQUIRED: Would it be "material" if Rivian omitted this from their December 31, 2019, financial reports? Explain.

- ☐ **Materiality:** Information is considered material if its omission or misstatement could potentially affect stakeholders' perceptions and decisions regarding the company's financial health and future prospects.
- ☐ Omission of the information about such a large order would generally be considered "material" because of the following points:
 - Amazon's order of 100,000 electric delivery vehicles represents a major revenue stream for Rivian, especially as a startup. This contract would significantly enhance Rivian's revenue projections and contribute to its growth trajectory.
 - Securing a large order from Amazon boosts Rivian's reputation and validates its market position.

For more on the contract announcement, see the [CNBC story from Sep. 19, 2019](#).